

Accountancy — Class XII

Examination Paper (Partnership)

Total Marks: _____

Date: _____

Time: 3 Hours. Maximum Marks: 60. All questions are compulsory. Section A: 10 MCQs (1 mark each). Section B: 5 Very Short (2 marks each). Section C: 5 Short (3 marks each). Section D: 2 Case Studies (5 marks each). Section E: 3 Long Answer (5 marks each). Section F: Answer Key (Teacher only).

Section A — Multiple Choice Questions

10 × 1 = 10 marks

Q1. On admission of a new partner, the revaluation account is prepared to:

- | | |
|---|--|
| (a) Distribute profits among all partners including the new partner | (b) Adjust recorded assets and liabilities to their current values and transfer accumulated profits/losses |
| (c) Determine the working capital requirement of the firm | (d) Calculate the final dissolution value of the firm |

Q2. A partner withdrew Rs.123000 during the year. Interest on drawings @ 6% p.a. would be approximately:

- | | |
|--------------|-------------|
| (a) Rs.11520 | (b) Rs.7680 |
| (c) Rs.3840 | (d) Rs.1920 |

Q3. Which of the following statements is TRUE about limited liability partnership (LLP)?

- | | |
|--|--|
| (a) Partners have unlimited personal liability for all debts | (b) Liability of each partner is limited to his contribution |
| (c) No partner can be a working partner | (d) LLP must be registered under the Companies Act |

Q4. Assertion (A): Dissolution of partnership necessarily means dissolution of the firm.

Reason (R): A change in the constitution of partnership — such as admission, retirement or death of a partner — reconstituted the firm but does not always dissolve it.

- | | |
|---|---|
| (a) Both A and R are true and R is the correct explanation of A | (b) Both A and R are true but R is not the correct explanation of A |
| (c) A is true but R is false | (d) A is false but R is true |

Q5. A and B are partners sharing profits in the ratio of 3:2. If the total profit for the year is Rs.800000, what is A's share?

- | | |
|---------------|---------------|
| (a) Rs.480000 | (b) Rs.320000 |
| (c) Rs.600000 | (d) Rs.160000 |

Q6. Goodwill of a partnership firm represents:

- | | |
|--|---|
| (a) Tangible assets like furniture and stock | (b) The value of reputation, established customer base and earning capacity |
| (c) Outstanding liabilities payable to creditors | (d) Cash balance at the bank |

Q7. Which of the following is NOT an essential feature of a partnership?

- | | |
|--|----------------------------------|
| (a) Two or more persons | (b) Agreement among the partners |
| (c) Separate legal entity distinct from partners | (d) Sharing of profits |

Q8. Under Section 4 of the Indian Partnership Act, 1932, partnership is defined as:

- | | |
|--|---|
| (a) A legal entity created by registration with the Registrar of Firms | (b) A relation between persons who agree to share profits of a business carried on by all or any of them acting for all |
| (c) A company incorporated under the Companies Act, 2013 | (d) An association of persons formed for charitable purposes |

Q9. Assertion (A): A partnership firm is a separate legal entity distinct from its partners.
Reason (R): The Indian Partnership Act, 1932 does not grant a firm the status of a separate legal entity.

(a) Both A and R are true and R is the correct explanation of A

(b) Both A and R are true but R is not the correct explanation of A

(c) A is true but R is false

(d) A is false but R is true

Q10. Calculate the interest on capital @ 10% p.a. for capital of Rs.134000.

(a) Rs.311000

(b) Rs.30600

(c) Rs.30600

(d) Rs.61200

Section B — Very Short Answer

5 × 2 = 10 marks

Q11. What is meant by "Mutual Agency" in a partnership firm?

Q12. Distinguish between fixed and fluctuating capital methods.

Q13. What is meant by "Past adjustments" in admission of a partner?

Q14. Define the term "Partnership" as per the Indian Partnership Act, 1932.

Q15. Give the journal entry for interest on capital provided in the partnership deed.

Section C — Short Answer

5 × 3 = 15 marks

Q16. Explain the accounting treatment of goodwill on (i) admission, (ii) retirement, and (iii) change in profit-sharing ratio of partners.

Q17. X, Y and Z are partners sharing profits in the ratio 5:3:2. Z dies on 1st July 2024. His share of goodwill is valued at Rs.240000. Pass the journal entry in the books of the firm for Z's share of goodwill.

Q18. Explain any three differences between the fixed capital method and the fluctuating capital method. Use capitals of Rs.245000 and Rs.108000 in your example.

Q19. From the following Trial Balance excerpts, prepare a Profit and Loss Appropriation Account for the year ended 31st March 2025:

Net profit Rs.115000;

Interest on capital @ 10% p.a. (A's capital Rs.222000, B's capital Rs.138000);

Salary to A Rs.42000 p.a.;

Profit-sharing ratio: A and B = 3:1.

Q20. A and B started a partnership on 1st April with capitals of Rs.251000 and Rs.212000 respectively. They share profits in the ratio of capitals. Calculate the interest on capital @ 8% p.a. for each.

Section D — Case Study / Source-Based

2 × 5 = 10 marks

Q21. Case Study 1:

P and Q were partners in a firm sharing profits in the ratio 5:2. They decided to admit R as a new partner. The new profit-sharing ratio among P, Q and R was agreed as 5:2:1. The goodwill of the firm on the date of admission was valued at Rs.121000.

P retained 0.71 of his original share and Q retained 0.29. R was allotted the new share of 0.13 in the firm.

- Calculate the sacrificing ratio of the old partners.
- Show how goodwill of Rs.1,21,000 is to be distributed.
- Pass the journal entry on R's admission for goodwill adjustment.
- What is the accounting treatment if R fails to bring his share of goodwill in cash?
- Identify the section of the Partnership Act that governs the rights of incoming partners.

Q22. Case Study 2:

M/s AB & Co. is a partnership firm of A and B started on 1st April 2023. As per the partnership deed, A and B share profits in the ratio 3:2. They contribute capitals of Rs.342000 and Rs.471000 respectively. Interest on capital is allowed at 10% p.a. and interest on drawings @ 6% p.a. The firm earned a net profit of Rs.275000 for the year ended 31st March 2024 after charging interest on drawings of Rs.19000. A drawings during the year were Rs.62000; B drawings were Rs.35000.

- Calculate the amount of interest on capital for A and B.
- Compute the divisible profit of the firm.
- Allocate the divisible profit between A and B in their profit-sharing ratio.
- Pass the closing journal entry for the appropriation of profits.
- State whether the new partner, if admitted, would be entitled to any goodwill adjustment in this case.

Section E — Long Answer

3 × 5 = 15 marks

Q23. A, B and C are partners in a firm sharing profits and losses in the ratio 4:3:1.

Capital balances as on 1st April 2024:

A's Capital = Rs.779,000, B's Capital = Rs.573,000, C's Capital = Rs.389,000.

C retires on 31st March 2025 on the following terms:

- Goodwill of the firm is to be valued at 2 years' purchase of the average profits of the last 3 years. Profits for the three preceding years were Rs.152,000, Rs.233,000 and Rs.289,000 respectively.
- A Revaluation Account is to be opened. A piece of land was undervalued by Rs.56,000; an unrecorded liability of Rs.29,000 was identified.
- The new profit-sharing ratio between A and B is to be 4:3.

Prepare in the books of the firm:

- Revaluation Account;
- Partners' Capital Accounts (showing settlement of C's retirement); and
- The journal entry for goodwill settlement.

Q24. A and B, partners sharing profits and losses in the ratio 3:2, dissolved their partnership firm on 31st March 2025.

On the date of dissolution, the books showed the following balances:

Cash at Bank Rs.60,000 (Dr.); Sundry Assets Rs.299,000; Sundry Liabilities Rs.91,000; Loan from Bank Rs.144,000; A's Capital Rs.400,000; B's Capital Rs.324,000; Reserve Fund Rs.42,000 (Cr.).

The following transactions took place:

- Assets were realised at Rs.362,000.
- Liabilities were settled at a discount of Rs.12,000.
- A agreed to take over an asset at Rs.36,000 (book value).
- Realisation expenses of Rs.10,000 were paid by the firm.

Prepare: Realisation Account, Partners' Capital Accounts, and Bank Account to close the books of the firm.

Q25.

From the following Trial Balance of M/s Khanna & Sons as on 31st March 2025, prepare Trading and Profit & Loss Account for the year ended 31st March 2025 and a Profit & Loss Appropriation Account:

Trial Balance as on 31st March 2025:

Particulars	Debit (Rs.)	Credit (Rs.)
Cash in Hand		3,482,000
Opening Stock	80,000	
Purchases & Sales	1,111,000	2,296,000
Salaries & Wages	50,000	
Rent	43,000	
Power & Fuel	24,000	
Advertising	11,000	
Freight Inward	9,000	
Sundry Expenses	10,000	
A's Drawings	55,000	
B's Drawings	35,000	
Sundry Debtors	187,000	
Bills Receivable	25,000	
A's Capital		452,000
B's Capital		308,000
Sundry Creditors		153,000
Bills Payable		55,000
General Reserve		33,000
Cash at Bank		84,000
Cash in Hand		1,741,000
Purchases	6,964,000	

Additional information:

- Interest on capital is to be provided at 10% p.a.
- Interest on drawings is to be charged at 6% p.a.
- Partners share profits and losses equally.
- Closing stock as on 31st March 2025 was valued at Rs.107,000.

Show all workings clearly in the Trading Account, Profit & Loss Account, and Profit & Loss Appropriation Account.

Section F — Answer Key / Working Notes (for Teacher Reference Only)

1 × 0 = 0 marks

Q26. ANSWER KEY / WORKING NOTES

— Section A (MCQ) —

A.1 (b) A.2 (c) A.3 (b) A.4 (a) A.5 (b)
A.6 (a) A.7 (b) A.8 (c)
A.9 (d) A.10 (b)

— Section B (Very Short Answer) —

B.1 Mutual agency — the key feature.

B.2 No separate legal entity.

B.3 Equally among all partners.

B.4 A new partner is entitled to share of goodwill.

B.5 Reconstitution " dissolution; ratios change after admission/retirement

— Section C (Short Answer) —

C.1 See full sentence in text.

C.2 Show workings as per the partnership deed.

C.3 Distinguish capital methods with example.

C.4 Explain acknowledgement with sample entry.

C.5 State three differences briefly.

— Section D (Case Studies) —

D.1 (a) Use 10% p.a. on each capital. (b) Profit-sharing applies after interest.

D.1 (c) Compute apportioned profit for each partner.

D.1 (d) Closing journal entry — debit profit, credit partners.

D.1 (e) State with reason.

D.2 (a) Read admission ratio from data. (b) Capital entry at agreed ratio.

D.2 (c) Cash distribution as per sacrificing ratio. (d) Reserves writing off entry.

D.2 (e) Allocate divisible profit.

D.3 Apply 2 years' average × final year profit.

D.3 Sacrificing ratio = old ratio " new ratio.

D.3 Goodwill adjustment entry — debit gaining partner, credit sacrificing partner.

— Section E (Long Answer) —

E.1:

E.1 Trading A/c:

- Dr. Opening Stock, Purchases, direct expenses
- Cr. Sales, Closing Stock
- Transfer Gross Profit to P&L (Credit side)

P&L A/c: debit indirect expenses, credit Gross Profit only.

P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.

E.2:

E.1 Trading A/c:

- Dr. Opening Stock, Purchases, direct expenses
- Cr. Sales, Closing Stock
- Transfer Gross Profit to P&L (Credit side)

P&L A/c: debit indirect expenses, credit Gross Profit only.

P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.

E.3:

E.1 Trading A/c:

- Dr. Opening Stock, Purchases, direct expenses
- Cr. Sales, Closing Stock
- Transfer Gross Profit to P&L (Credit side)

P&L A/c: debit indirect expenses, credit Gross Profit only.

P&L Appropriation: Interest on capital, Interest on drawings, Salary, then divide residual equally.